

Sixty Percent Is Not the Risk

A note on the distance between the number the market has priced and the thing that is actually moving it.

THE READING

Tuesday settled with almost everything on its low. The S&P 500 closed at 7,673.52, down 0.58%, but it finished at 12.8% of its daily range; the Russell 2000 at 9.2% of its. The Philadelphia semiconductor index rose 1.30% and still shut at 24.7% of range. The two-year yield rose 2.6bp to 4.400%, the largest move on the curve, and the ten-year touched 4.812% intraday, a new cycle high. VIX rose 8.20% to 15.71.

WTI closed at \$93.03, its sixth consecutive advance, after Houthi strikes on four southern Saudi cities halted operations at some energy facilities. Fed funds futures put roughly 60% odds on a rate rise on 16 September. August CPI lands Friday.

WHAT WISDOM WOULD SAY

Frank Knight, in *Risk, Uncertainty and Profit* (1921), separated risk — a hazard you can put a distribution on — from uncertainty, where no distribution exists and none can honestly be built. His point was practical rather than academic. The first kind can be priced, hedged and insured away. The second cannot, which is why he thought bearing it was where returns actually came from.

The 60% is risk in Knight's sense. It comes from a liquid market, it updates continuously, and it can be traded from either side. That is precisely what makes it feel like the main event.

What is driving it is not that sort of object. Six sessions of crude are not a distribution. How many facilities a group in Yemen chooses to strike next month has no base rate that anyone reading a screen in Hong Kong can compute. Every dollar on crude is worth three to four basis points on the inflation path, which puts the priceable number downstream of an unpriceable one. The confident figure is attached to the wrong variable — not because it is wrong, but because it is the only variable that admits a figure.

THE RISK IT JUSTIFIES

Two things follow. Do not size Friday around 60/40 as though that described the situation; it describes one branch of it. A rise that is priced and then delivered is close to a non-event. The case that hurts is a crude impulse that keeps the inflation path rising after the print has cleared, and nothing expiring on Friday covers that.

And closes matter more than changes this week. An index that opens at its high, never trades above it, and is sold all afternoon is being distributed into. That argues for adding no index exposure today, and for treating strength between now and Friday as a chance to reduce rather than a signal to follow.

What would change the answer: crude giving back two or three sessions without a fresh headline, or a close in the upper half of the daily range on broad participation. Either would suggest the selling had finished.

If the odds could not be quoted at all, would you be positioned this way?